Corporate Lending Automation System

Intelligent Credit Assessment Platform

CREDIT ASSESSMENT REPORT

Application Number	CLA-20260812-00005
Company	Seraya Manufacturing Sdn Bhd
Registration No.	202301045678
Loan Amount Requested	RM 15,500,000
Loan Purpose	Acquisition
Tenure	84 months
Pipeline Status	Approved
Preliminary Decision	APPROVED
Report Generated	2026-08-12 18:09 UTC

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1. Application Overview

Application No.	CLA-20260812-00005
Loan Amount	RM 15,500,000
Loan Purpose	Acquisition
Tenure	84 months
Interest Rate Requested	—
Collateral Description	Not provided
Collateral Value	N/A
Current Status	Approved
Final Decision	APPROVED
Assigned Officer	Not assigned
Decision Reason	Healthy balance sheet and risk score well within appetite.

2. Company Profile

Company Name	Seraya Manufacturing Sdn Bhd
Registration Number	202301045678
Tax ID	C24680135790
GST Number	—
Company Type	Private Limited
Industry	Manufacturing
Incorporation Date	2015-04-12
Country	Malaysia
Registered Address	Lot 22, Jalan Perindustrian 4, Shah Alam
City / State	Shah Alam, Selangor
Contact Email	finance@seraya-mfg.com.my
Contact Phone	+60355118820
Annual Turnover	RM 48,500,000
Employees	260

3. Submitted Documents

#	Type	Filename	Financial Year	Size (KB)	Status
1	Balance Sheet	seraya_fs_2025.pdf	2025	2.8	Extracted

4. Financial Data — OCR Extraction

Financial Metric	Extracted Value	Financial Metric	Extracted Value
Cash & Cash Equivalents	RM 2,884,089	**Cost of Revenue**	RM 35,890,000
EBIT	RM 6,790,000	**Short-term Debt**	—
EBITDA	—	**Accounts Payable**	RM 3,401,383
Shareholders' Equity	RM 42,890,975	**Interest Expense**	RM 480,150
Revenue / Turnover	RM 48,500,000	**Operating Profit**	RM 6,790,000
Inventory	RM 3,932,849	**Total Liabilities**	RM 12,884,025
Net Worth	—	**Accounts Receivable**	RM 5,505,988
Net Profit / PAT	RM 4,795,486	**Current Liabilities**	RM 7,086,214
Tax Expense	RM 1,514,364	**Financing Cash Flow**	RM 672,210
Gross Profit	RM 12,610,000	**Investing Cash Flow**	RM 2,910,000
Total Assets	RM 55,775,000	**Operating Cash Flow**	RM 6,492,986
Current Assets	RM 13,109,495	**Depreciation & Amortisation**	RM 1,697,500
Long-term Debt	—		

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5. Financial Ratios Analysis

Overall Financial Health: GOOD

Ratio	Value	Unit	Risk Level	Benchmark	Interpretation
Debt Ratio	0.231	x	Very Low	0.3 – 0.6	Excellent: Debt Ratio of 0.23x shows that only 23.1% of assets are financed by debt.
Quick Ratio	1.295	x	Low	1 – 2	Healthy: Quick Ratio of 1.29x. Liquid assets adequately cover current liabilities witho...
Current Ratio	1.85	x	Low	1.5 – 3	Healthy: Current Ratio of 1.85x indicates strong short-term liquidity. The company can ...
Ebitda Margin	17.50%	%	Low	12 – 30	Good: EBITDA Margin of 17.50%. Strong operational cash generation.
Asset Turnover	0.8696	x	Low	0.5 – 1.5	Good: Asset Turnover of 0.87x. Efficient use of asset base to generate revenue.
Cash Flow Ratio	0.9163	x	Low	0.5 – 1	Good: Cash Flow Ratio of 0.92x. Operating cash flow adequately covers current liabilities.
Working Capital	6,023,281	■	Low	—	Positive: Working Capital of ■6,023,281 provides a buffer for short-term operations.
Operating Margin	14.00%	%	Low	10 – 25	Good: Operating Margin of 14.00%. Healthy operating efficiency.
Return On Assets	8.60%	%	Low	5 – 15	Good: ROA of 8.60%. Assets employed efficiently.
Return On Equity	11.18%	%	Low	10 – 25	Good: ROE of 11.18%. Solid return on shareholders' investment.
Debt Equity Ratio	0.3004	x	Very Low	0.5 – 2	Excellent: Debt-Equity Ratio of 0.30x reflects conservative financing with equity domin...
Net Profit Margin	9.89%	%	Low	5 – 20	Good: Net Profit Margin of 9.89%. Solid bottom-line profitability.
Financial Leverage	1.3004	x	Very Low	1.5 – 4	Excellent: Financial Leverage of 1.30x. Conservative use of debt financing.
Inventory Turnover	9.1257	x	Low	4 – 12	Good: Inventory Turnover of 9.13x. Efficient inventory management.
Current Asset Ratio	0.235	x	Medium	0.3 – 0.6	Moderate: Current Asset Ratio of 0.23x is typical for asset-heavy industries.
Gross Profit Margin	26.00%	%	Medium	20 – 60	Moderate: Gross Profit Margin of 26.00%. Acceptable for trade/distribution businesses.
Receivable Turnover	8.8086	x	Low	6 – 15	Good: Receivable Turnover of 8.81x. Efficient debtor collection.
Interest Coverage Ratio	14.1414	x	Very Low	2.5 – 5	Excellent: ICR of 14.14x. Strong earnings coverage for interest payments.
Operating Cash Flow Ratio	13.39%	%	Low	10 – 25	Good: Operating Cash Flow Ratio of 13.39%. Healthy cash conversion.
Debt Service Coverage Ratio	7.2614	x	Very Low	1.25 – 2	Excellent: DSCR of 7.26x. Strong debt servicing capacity.

6. Rule Engine Evaluation

Verdict: PASS	Rules Evaluated: **11**	Rules Triggered: **0**	ML Pipeline: **Will Run**

Priority	Rule Name	Category	Metric Value	Threshold	Mandatory	Status	Action
10	**Minimum Current Ratio**	Liquidity	1.85	1	Yes	**PASS**	Reject
20	**Quick Ratio Floor**	Liquidity	1.295	0.5	Yes	**PASS**	Reject
30	**Maximum Debt-Equity Ratio**	Leverage	0.3004	2.5	Yes	**PASS**	Reject
40	**Maximum Debt Ratio**	Leverage	0.231	0.8	No	**PASS**	Manual Review
50	**Positive Return on Assets**	Profitability	8.6	—	Yes	**PASS**	Reject
60	**Minimum Return on Equity**	Profitability	11.18	5	No	**PASS**	Manual Review
70	**Positive Net Profit Margin**	Profitability	9.89	—	Yes	**PASS**	Reject
80	**Minimum Interest Coverage Ratio**	Coverage	14.1414	1.5	Yes	**PASS**	Reject
90	**Minimum Debt Service Coverage Ratio**	Coverage	7.2614	1.2	Yes	**PASS**	Reject
100	**Positive Operating Cash Flow**	Cash_Flow	13.39	—	Yes	**PASS**	Reject
110	**Positive Net Worth**	Solvency	1.3004	10	Yes	**PASS**	Reject

7. ML Prediction & Risk Assessment

Model Used	Random Forest
Probability of Default	14.11%
Composite Risk Score	9.9 / 100
Risk Level	VERY LOW
Prediction Outcome	Low Risk

Risk Score Bar: [■■■■■■■■■■■■■■■■■■■■■■] 9.9%

Top Predictive Factors (SHAP Analysis):

Feature	SHAP Value	Direction
Borrowing dependency	-0.0864	↓ **Reduces Risk**
Debt ratio %	+0.0425	↑ **Increases Risk**
Degree of Financial Leverage (DFL)	+0.0398	↑ **Increases Risk**
Persistent EPS in the Last Four Seasons	-0.0385	↓ **Reduces Risk**
Non-industry income and expenditure/revenue	-0.0298	↓ **Reduces Risk**

Retained Earnings to Total Assets	-0.0297	↓ Reduces Risk
ROA(C) before interest and depreciation be...	-0.0274	↓ Reduces Risk
Interest Expense Ratio	-0.0243	↓ Reduces Risk
Net Income to Stockholder's Equity	-0.0192	↓ Reduces Risk
Current Liabilities/Equity	-0.0191	↓ Reduces Risk
Working Capital to Total Assets	-0.0173	↓ Reduces Risk
Equity to Liability	-0.0163	↓ Reduces Risk

Model Explanation:

The Random Forest model assigns a low probability of default (14.1%), suggesting acceptable credit risk. Key factors increasing default risk: 'Debt ratio %', 'Degree of Financial Leverage (DFL)'. Mitigating factors reducing default risk: 'Borrowing dependency', 'Persistent EPS in the Last Four Seasons', 'Non-industry income and expenditure/revenue'.

Model Comparison (Training Evaluation):

Model	Accuracy	Precision	Recall	F1	ROC-AUC	CV ROC-AUC
Xgboost	0.952	0.362	0.659	0.468	0.937	0.997 ± 0.001
Random Forest	0.944	0.323	0.682	0.438	0.949	0.996 ± 0.001
Logistic Regression	0.886	0.200	0.841	0.323	0.934	0.951 ± 0.004

8. Credit Recommendation

RECOMMENDATION: APPROVE — The composite risk score of 9.9/100 is in the 'Very Low' range. The Random Forest model estimates a 14.1% probability of default. This application represents a low-risk lending opportunity.

9. Officer Notes

No officer notes recorded at the time of report generation.

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